

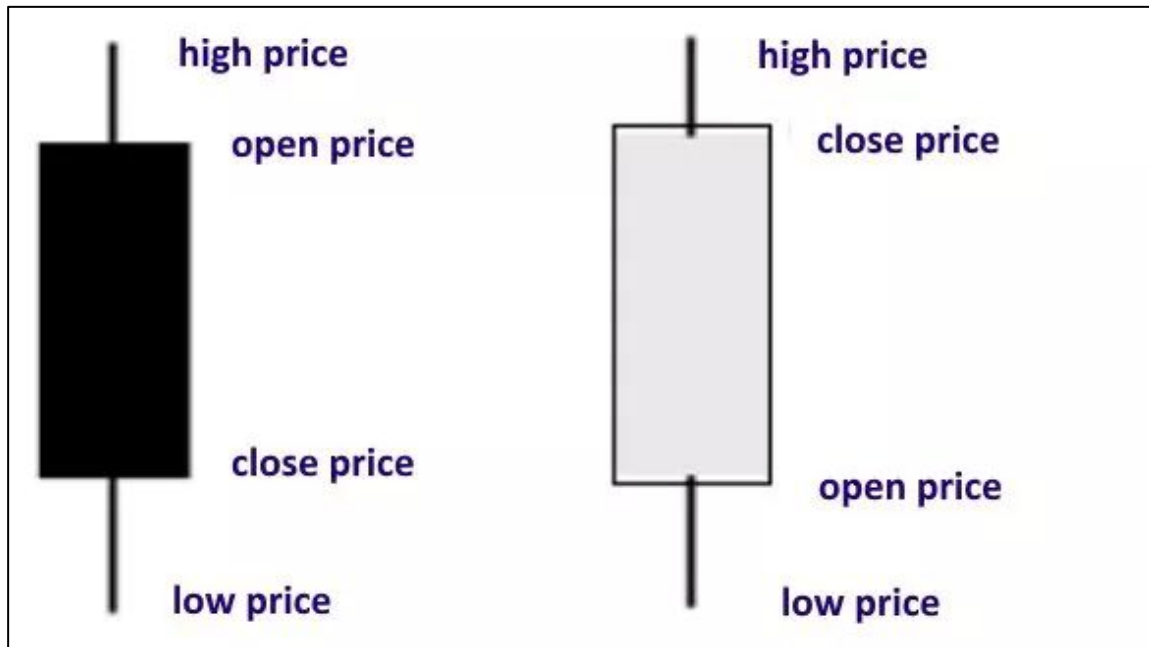
# Candlestick Chart

# Fundamentals

A style of financial chart used to describe price movements of a security, derivative, or currency.

Components:

1. Real Body
2. Shadow/Wick
3. Color



# Advantages & Disadvantages

## Pros:

1. Easy to depict
2. A proven technique for many years

## Cons:

1. They look different on every time frame
2. They are a lagging indicator – Japanese candlesticks are a lagging indicator because most traders wait until the close of a candle before executing a trade.

# Applications in Finance

- Investors use candlestick charts like any other technical analysis tool (i.e., to study the psychology of market participants in the context of stock trading).
- They can help identify a change in trader sentiment where buyer pressure overcomes seller pressure.

# Unique Use Cases

1. Besides finance, these can be used to measure variations in sensitive environmental variables like
  - a. Temperature
  - b. Humidity
  - c. Pressure
2. Can be used in healthcare sectors for keeping measurement of patient's data points

# Important Links

Candlestick – [https://en.wikipedia.org/wiki/Candlestick\\_chart](https://en.wikipedia.org/wiki/Candlestick_chart),  
<https://www.investopedia.com/trading/candlestick-charting-what-is-it/>, <https://www.investorsunderground.com/stock-charts/candlestick-charts/>,  
<https://en.softonic.com/solutions/what-are-the-best-candlestick-charts-apps-for-android>,  
<https://www.investopedia.com/articles/active-trading/092315/5-most-powerful-candlestick-patterns.asp>,  
<https://www.investopedia.com/articles/active-trading/062315/using-bullish-candlestick-patterns-buy-stocks.asp>